4. **Substantive Testing:** This is performed to determine whether the data is real. Substantive tests are tests of transactions and balances and analytical procedures designed to substantiate the assertions. Auditors must obtain and evaluate evidence concerning management's assertions about the financial statements. The auditor must obtain sufficient competent evidential matter to provide a basis for an opinion regarding the financial statements under audit. If sufficient competent evidence cannot be obtained then an opinion cannot be issued.

5. **Audit Reporting:** The audit report will contain detailed information on various aspects of their findings in the process of audit in a computerized environment.

SUMMARY

Auditing - Meaning

- Auditing is a detailed and critical examination of books of accounts by an independent and qualified person to ascertain the true and fair view of state of affairs of the business.

Advantages of Auditing

- Auditing is useful to owners, company and outsiders. The advantages of auditing include detection and prevention of errors and frauds, weaknesses of control system, to have moral check on employees, professional advice, to resolve disputes, insurance claims, settle wages and bonus and to determine tax amount.

Objectives of Auditing

- Objectives of auditing are classified as primary, secondary and other objectives. The primary objective of an auditor is to examine the accuracy of the books of accounts and to express his opinion on the financial statements.
- The secondary objective of auditing is to detect errors and frauds. Errors are unintentional mistake in the books of accounts and may arise in the following ways: (1) Clerical error i.e., error of omission and commission, (2) Error of principle, (3) Compensating error, and (4) Error of Duplication.

Fraud

- False representation or entries made intentionally in the books to defraud somebody are called as fraud. Frauds take place in the form of (1) Misappropriation of cash, (2) Misappropriation of goods, and (3) Manipulation of accounts.

Investigation

- Investigation means an enquiry or examination of books of accounts for some specific objectives. It involves the process of analysing, collecting and presenting

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